Mergers and Acquisitions

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Value creation areas

Current market value

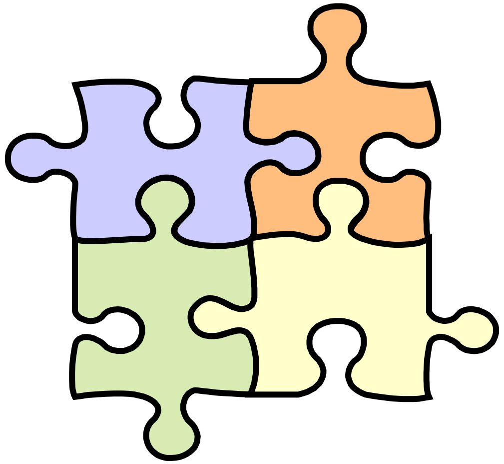
Communication and information gap

Maximal value creation

True business value

Total potential value

Interior efficiency



Financial restructuring

Value with enhanced efficiency

Business value after interior enhancements, asset sales, investments and M&As.

Layoffs, asset sales

Value after creative disruptions

New growth opportunities

Source: McKinsey

Ways of creating value

Increase cash flows

Reduce risks

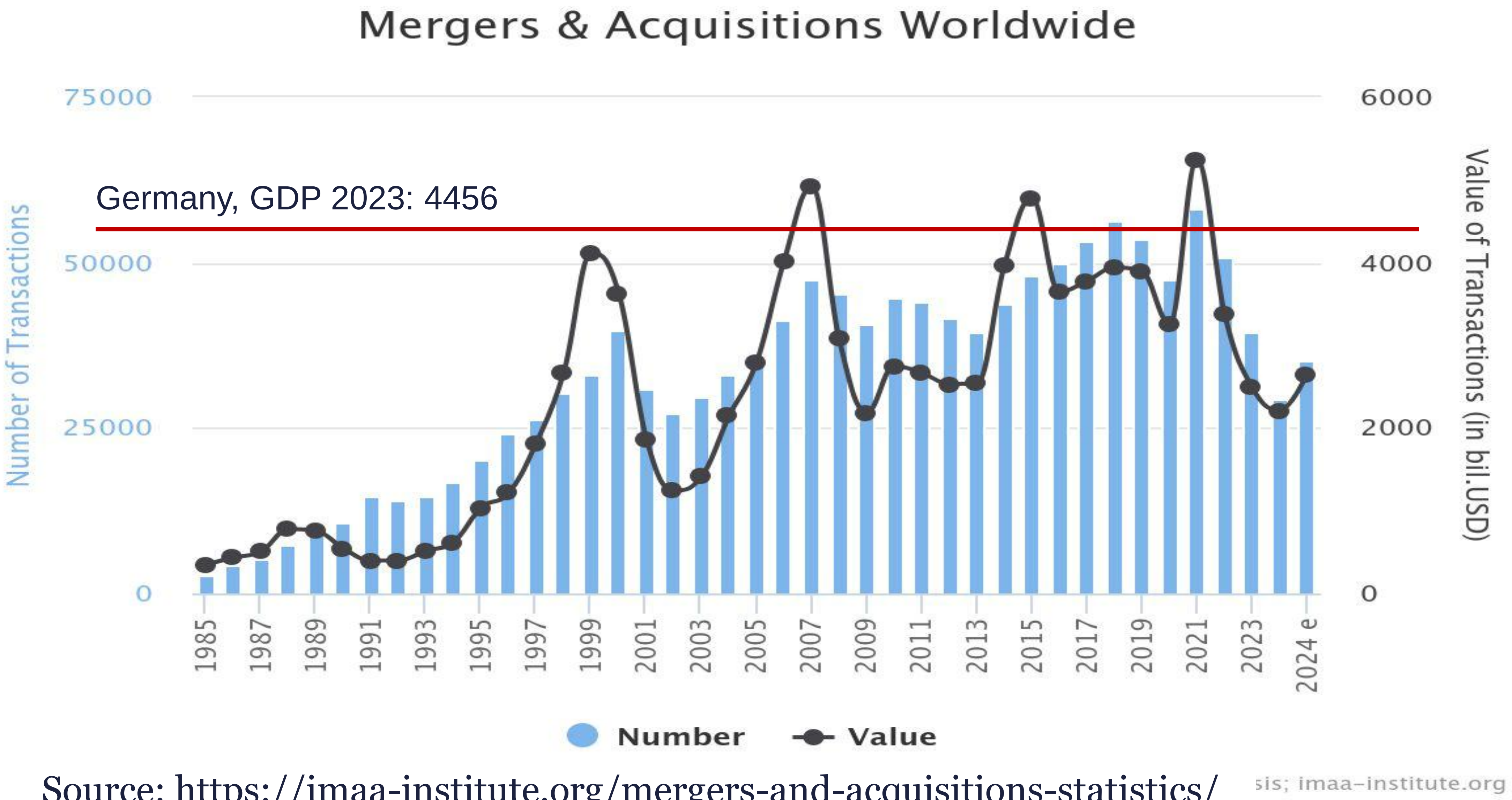
Cut back on capital need

$$MVA = \sum_{i=1}^{\infty} \frac{FCFF_i}{\prod_{j=1}^{i}(1 + WACC_j)} - IC_0$$

Tools:

- New, positive NPV projects
- Growth,
- Sell-off of poor projects

Importance of M&As



Source: https://imaa-institute.org/mergers-and-acquisitions-statistics/

Sell-side motives

Management issues (inheritance)

Liquidity issues, lack of capital (bankruptcy, growth)

Stress among owners (divorce)

Strategic opportunities (better investments available)

exit

(venture capital)

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Buy-side motives

- Extensive growth
- Efficiency of scale
- Market force and marketing considerations
- Vertical integration
- Diversification

- Taxation
- Access cash
- EPS increase
- Prestige
- Complementary resources
- Acquiring crown jewels
- Undervaluation
- Management considerations

Dia címsor

YOU'RE AN INCOMPETENT CEO, BUT THE DOGBERT INVESTMENT BANK CAN HELP YOU PRETEND TO UNLOCK SHARE-HOLDER VALUE.
I'LL ARRANGE AN UNWISE MERGER SO YOU CAN CASH OUT WHILE I COLLECT AN OBSCENE COMMISSION.
IT'S LIKE A BRIBE, BUT INSTEAD OF GOING TO JAIL, A STRANGER WILL WRITE A BEST-SELLING BOOK WITH YOUR NAME ON IT.
CAN I READ IT?
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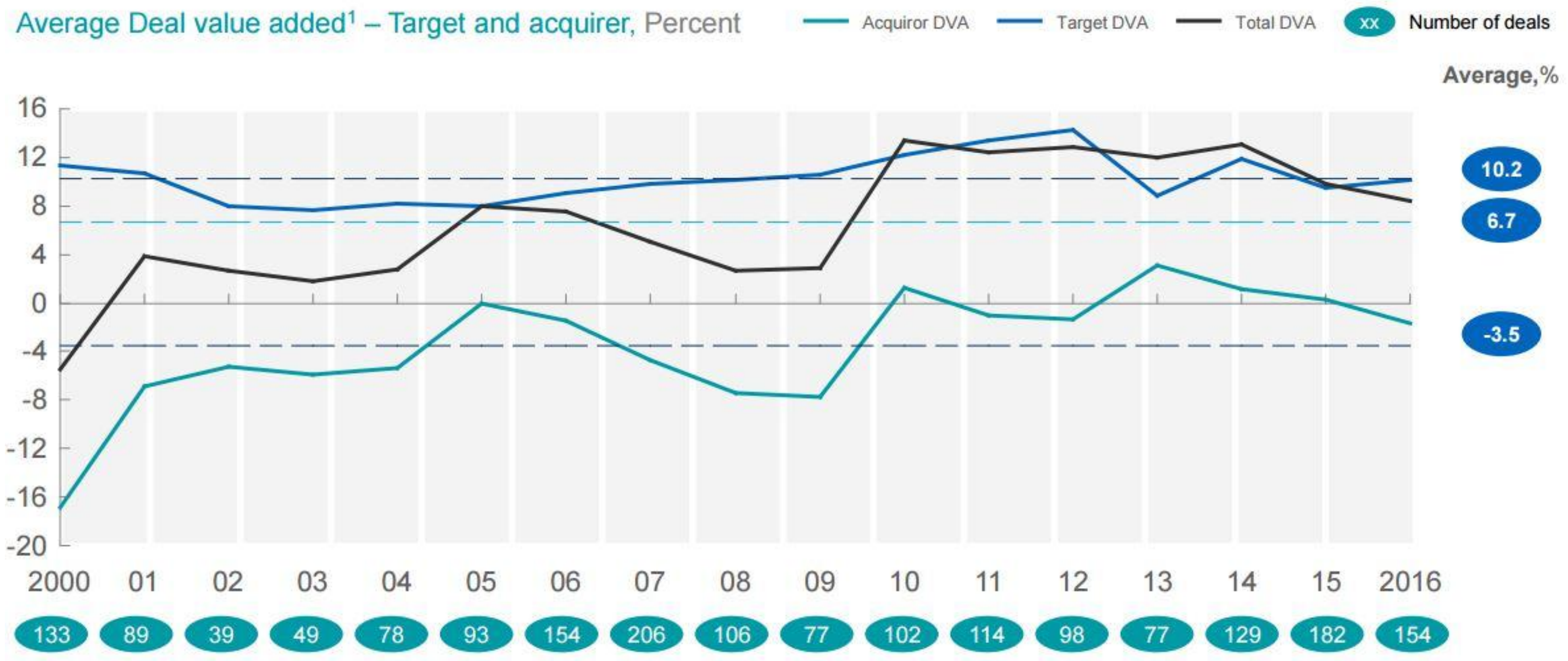
Do M&As create value?

For the sellers, absolutely. The average takeover premium is 30% in the US.

There is a huge deviation across buyer effects – usually they lose value.

Creating value by takeovers



Source: McKinsey (2017): Overview of M&A, 2016
DVA: Deal Value Added, the change of joint market value of the target and the buyer, -2/+2 days around the announcement.

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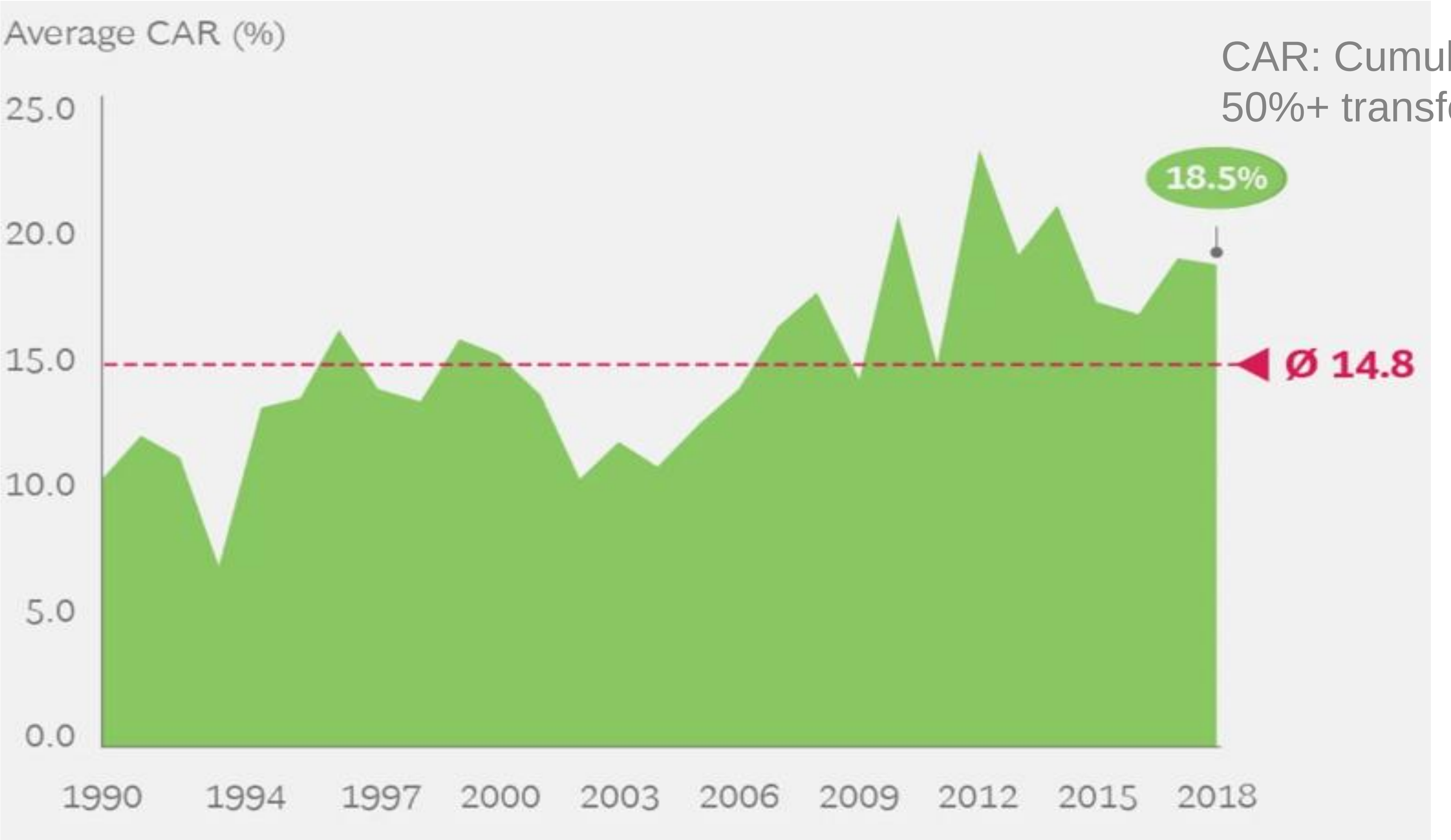
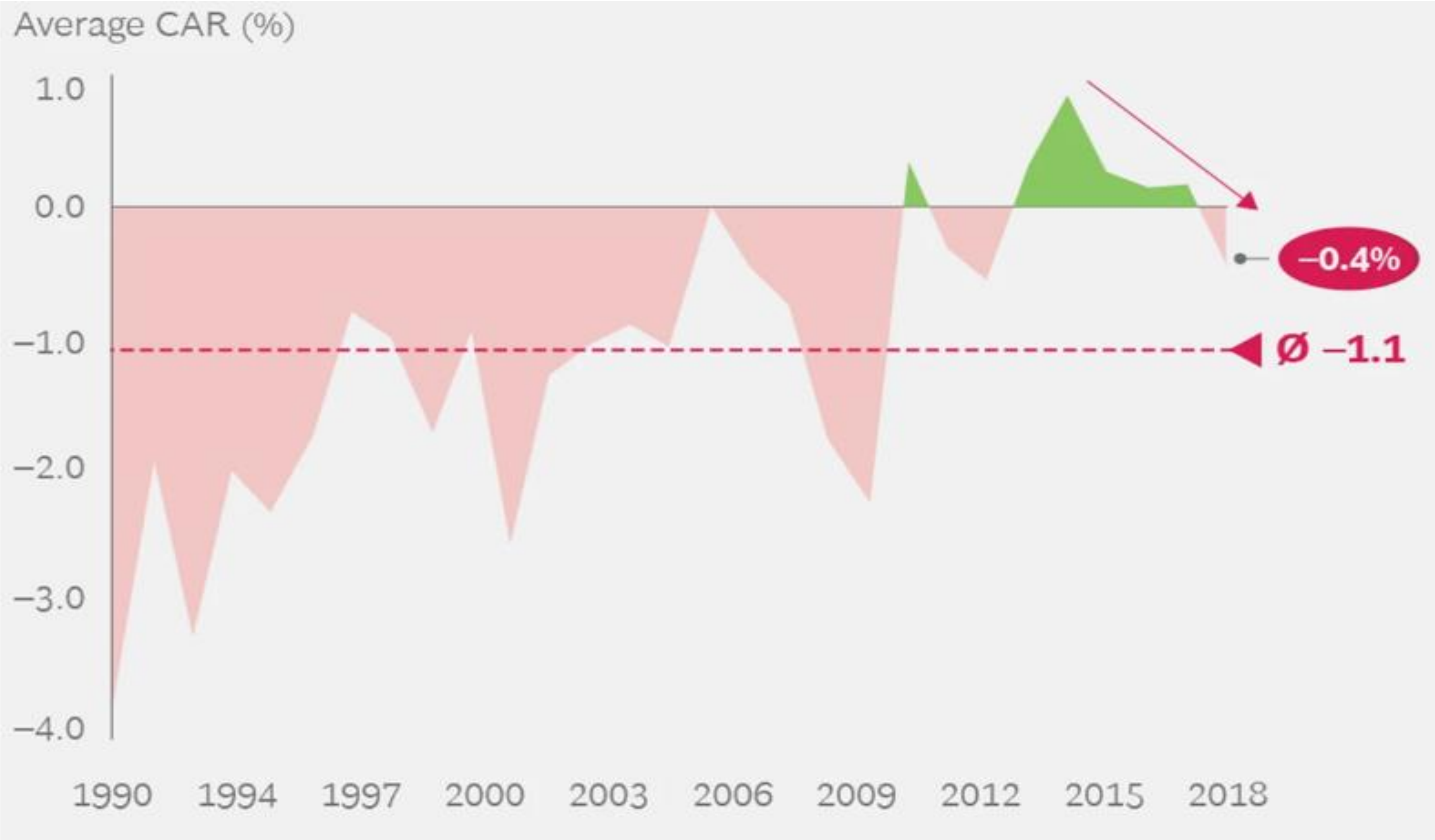
Creating value by takeovers (sellers)



CAR: Cumulative Abnormal Return, 50%+ transfers

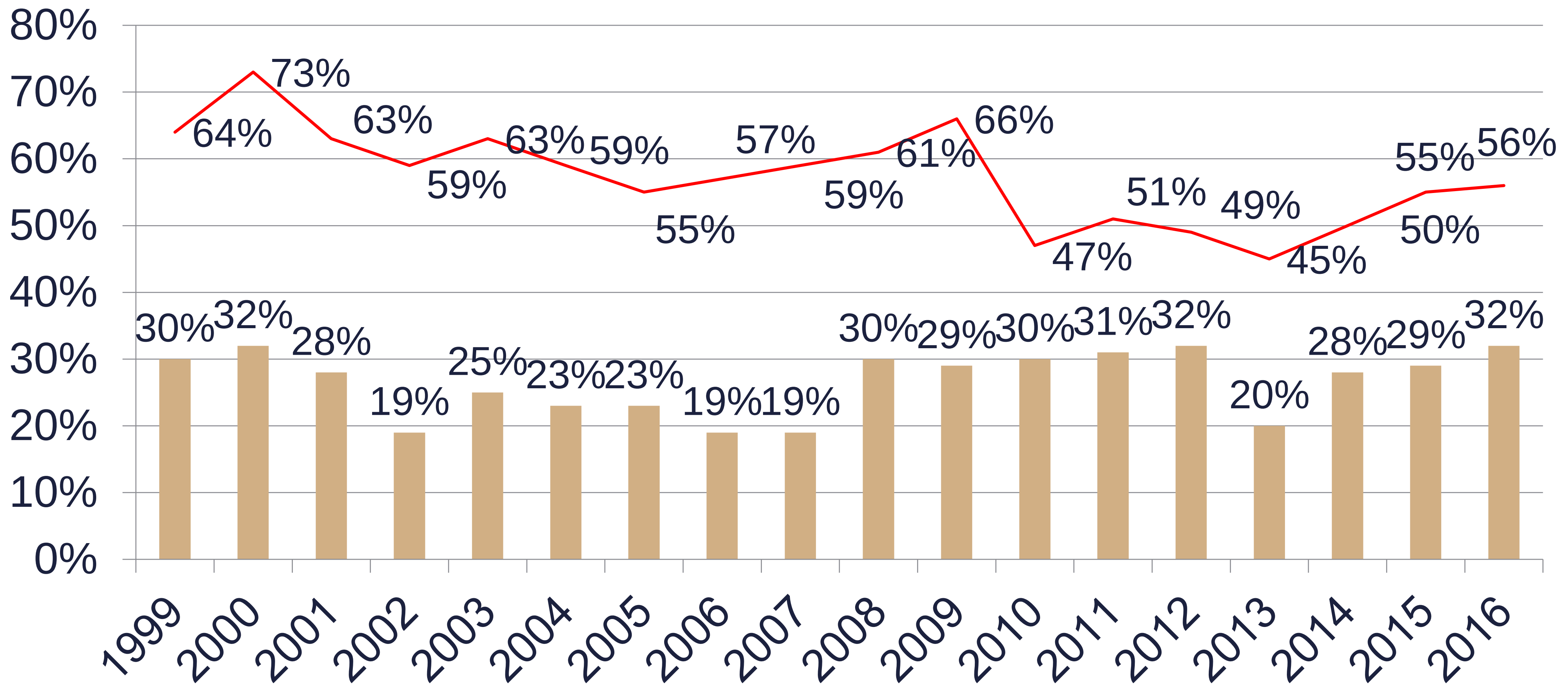
Source: BCG, 2019 Mergers & Acquisitions (M&A) Report

Creating value by takeovers (buyers)



Source: BCG, 2019 Mergers & Acquisitions (M&A) Report

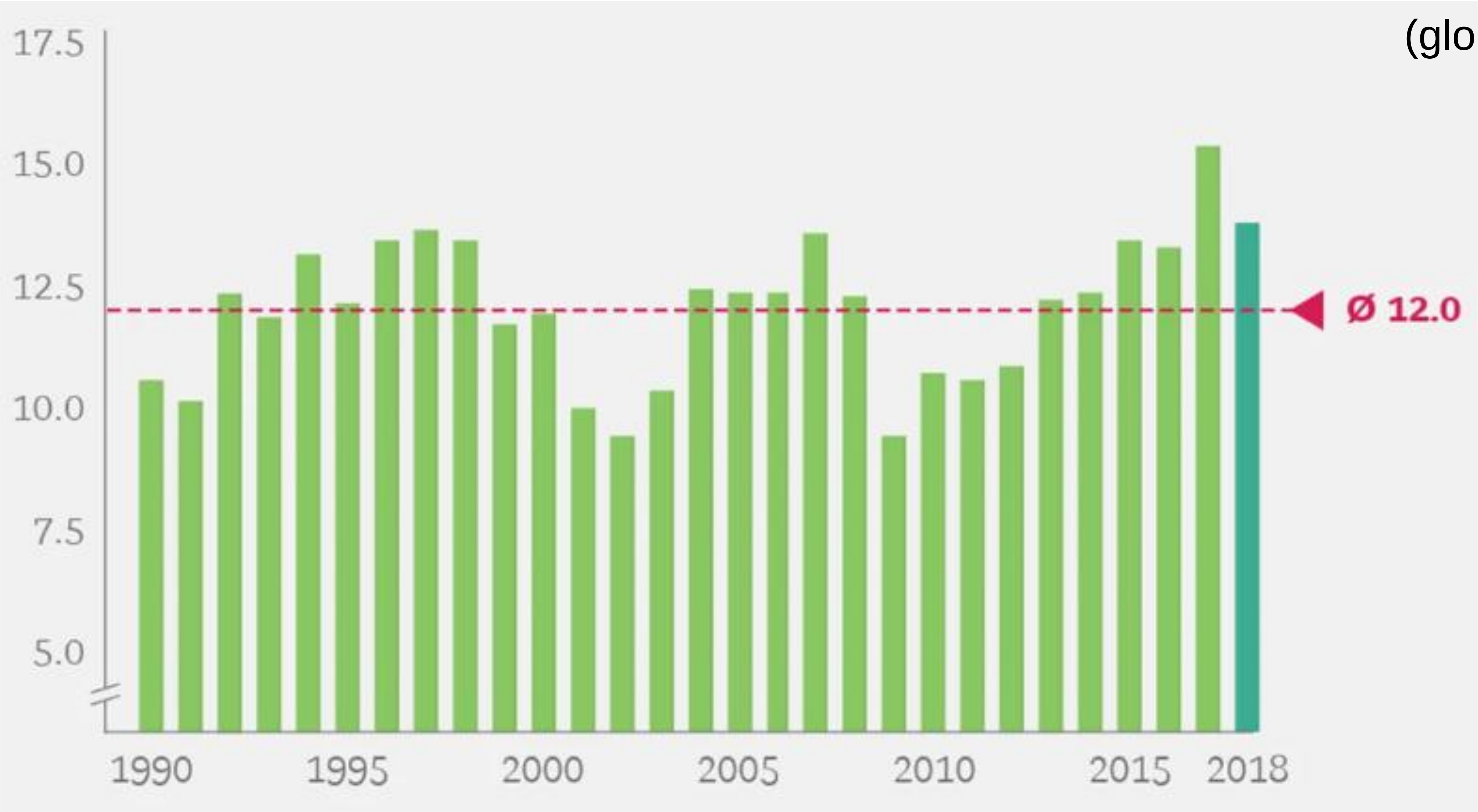
Premiums on the global M&A market



Source: McKinsey, 2017, Premium: -7/0 days, median
POP: Percent of Overpayers, rate of buyers seeing their value falling due to the announcement, -2/+2 days around the announcement.

EV/EBITDA multiples

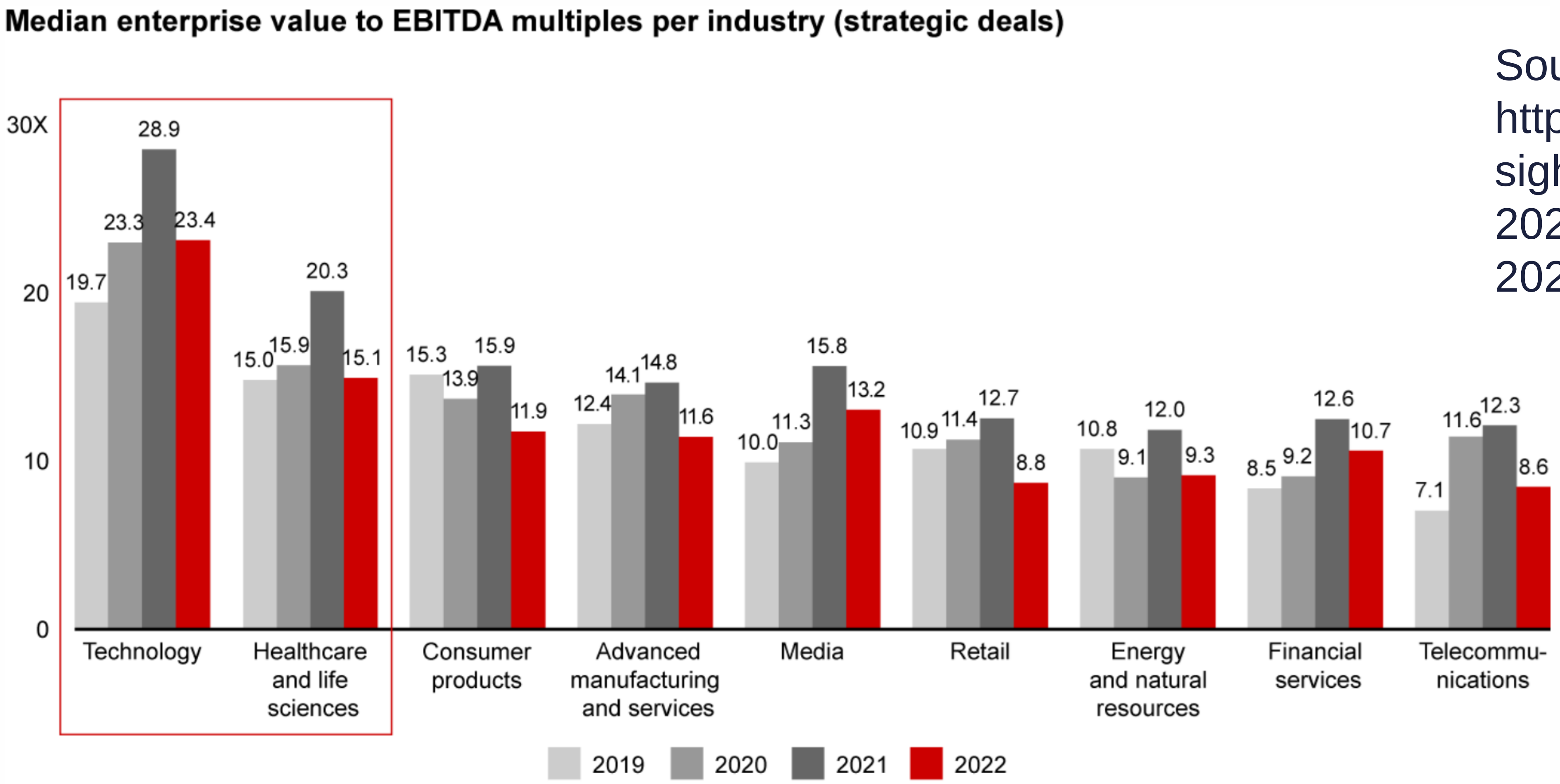
(global median)



Source: BCG, 2019 Mergers & Acquisitions (M&A) Report

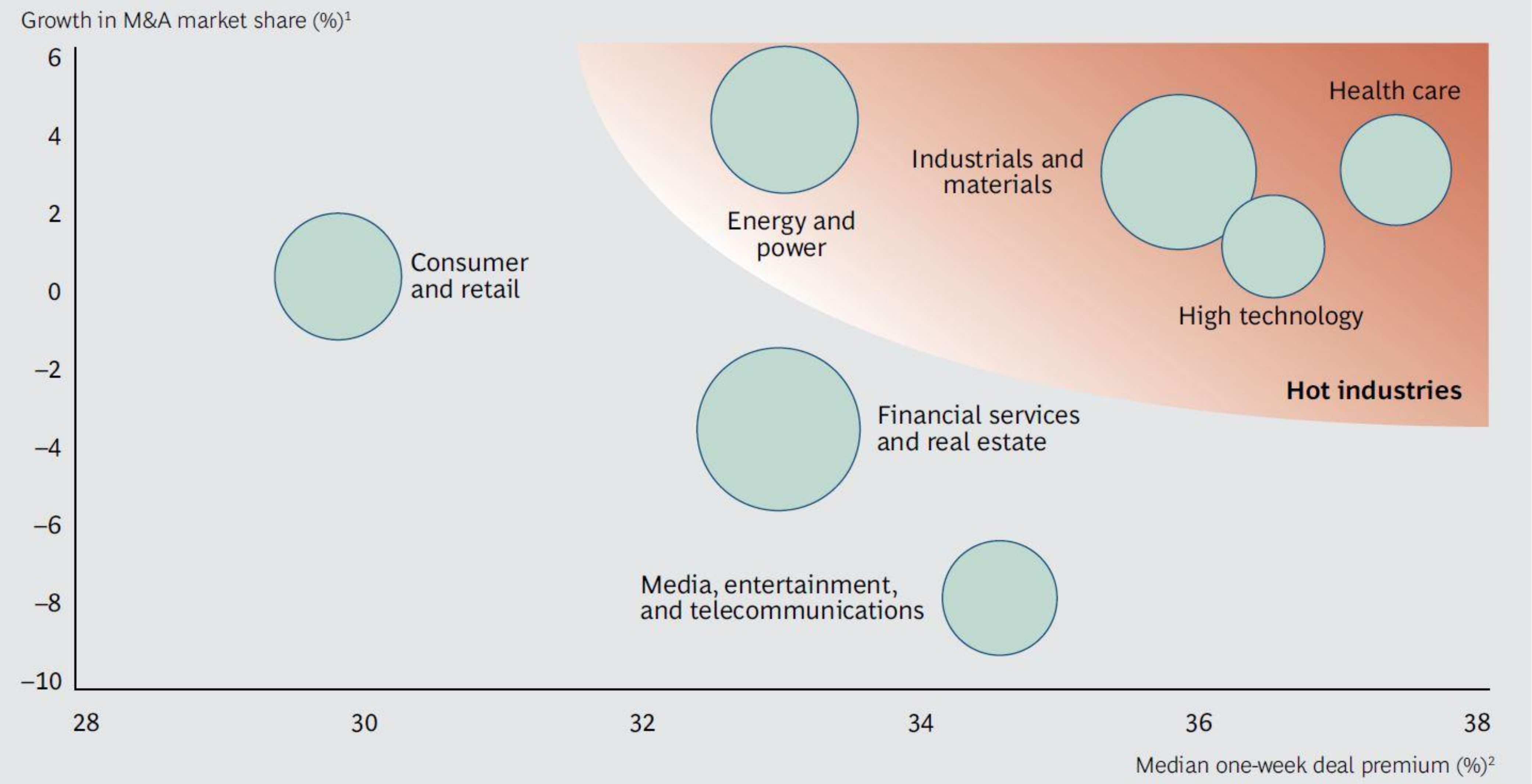
EV/EBITDA multiples (global median)

Source: https://www.bain.com/insights/looking-back-at-2022-m-and-a-report-2023/



Notes: Median deal multiples for announced strategic deals in which valuation data was available; strategic deals include corporate M&A and PE portfolio add-ons
Source: Dealogic

M&A premium across industries



Source: BCG, 2014, 2011-2014 H1 transactions, median

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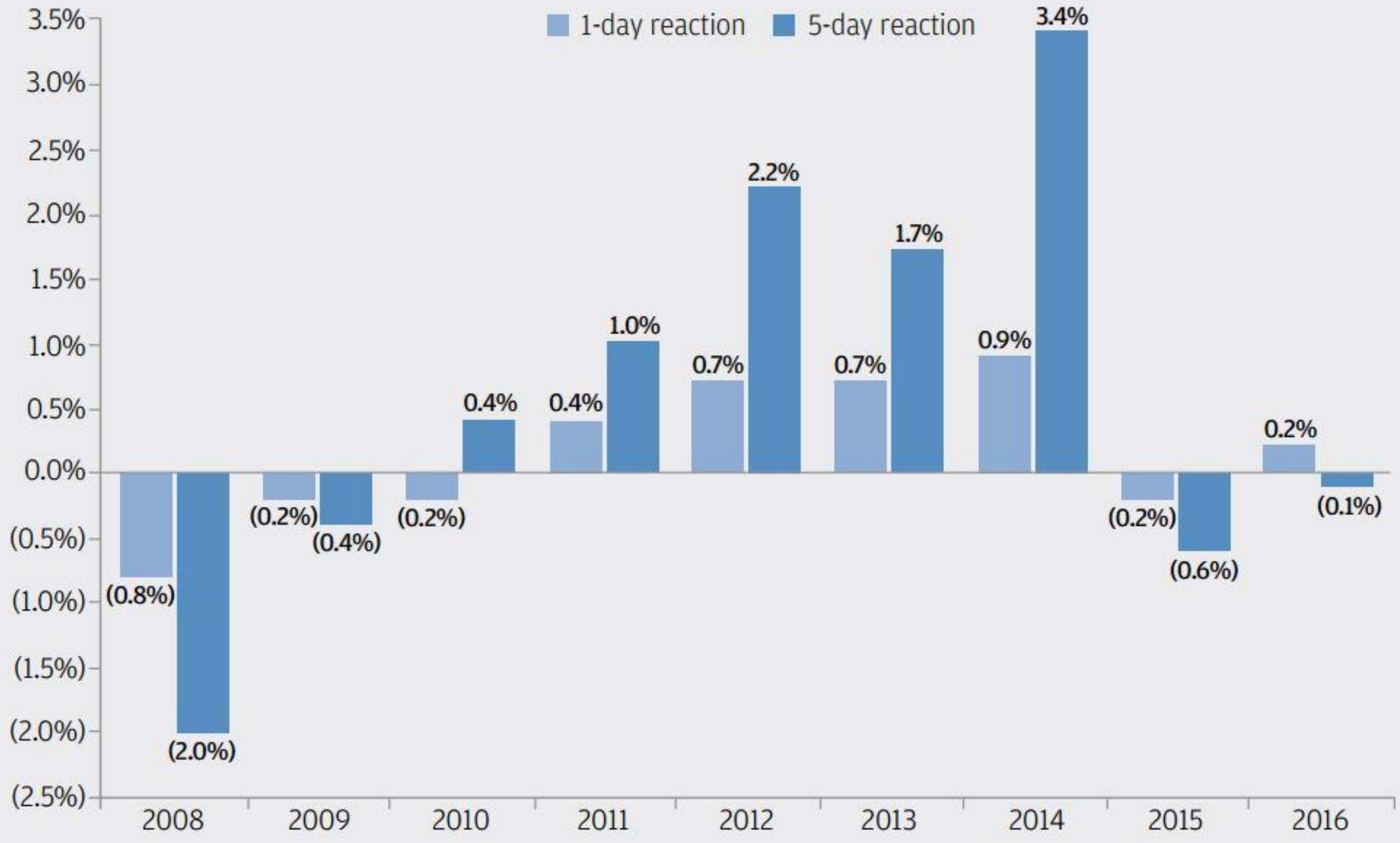
Creating value by M&As

Survey	Positive	Neutral	Negative
Based on financial ratios			
Mercer, 1995	25%	30%	45%
KPMG, 1999	17%	30%	53%
A.T. Kearney, 1999	27%	19%	54%
KPMG, 2001	30%	39%	31%
McKinsey, 2001	12%	46%	42%
Based on management interviews			
MAPI, 1999	61%	27%	12%

Source: Pautler, 2003

Shares price reaction (buyers)



Sources: FactSet and company filings as of December 31, 2016

Note: Includes acquisitions by U.S. buyers with minimum deal value of $500mm, % owned < 20%, % acquired > 80% and target > 5% of the size of the acquirer

[a] Excess return over S&P 500 returns times acquirer's beta from unaffected date prior to announcement

Source: JP Morgan, 2017, median, US

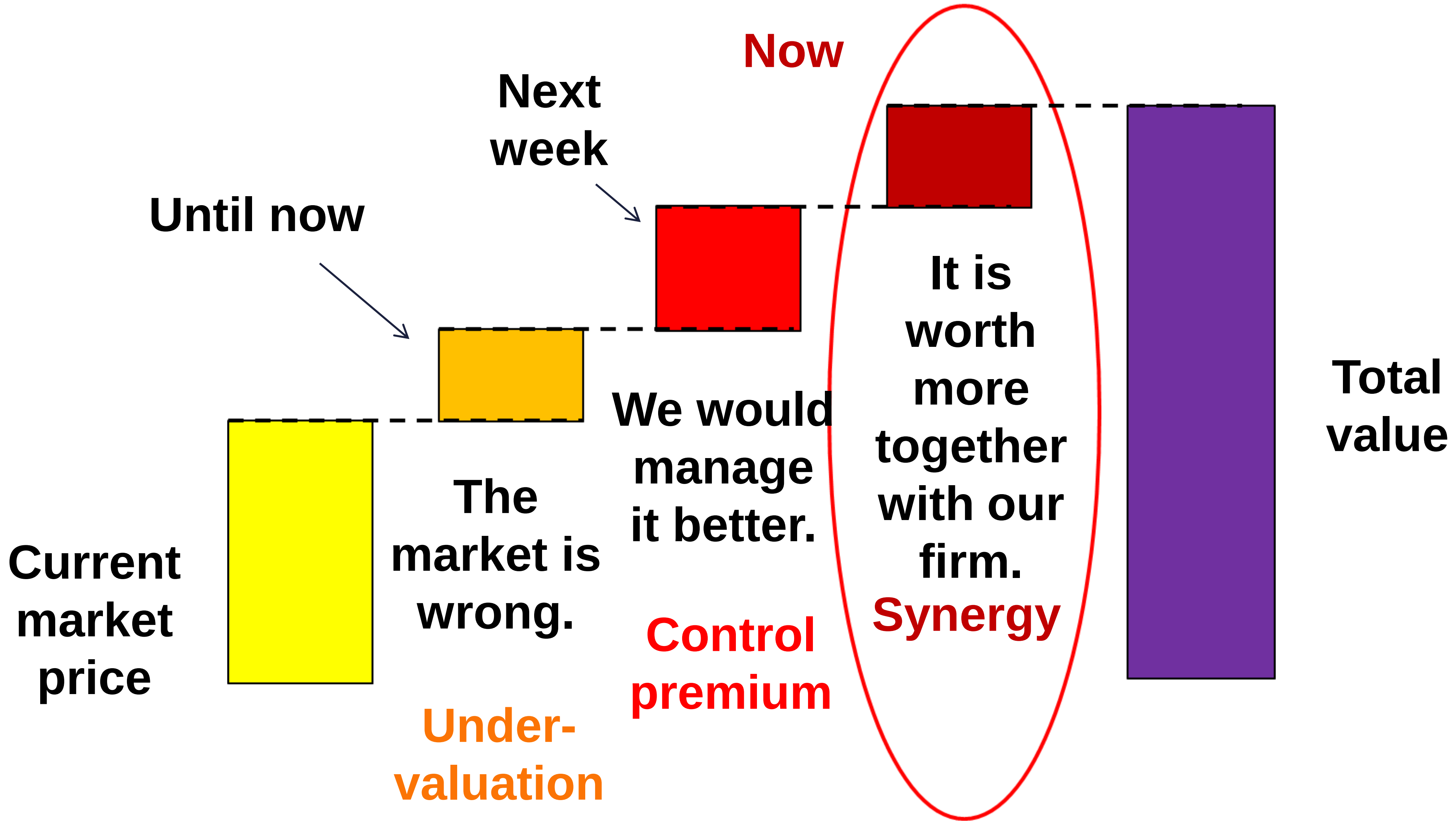
Why paying more than the current price?

Undervaluation „premium”: The fair firm value is 3 today, but the market price is only 2. We pay a maximum of 3; no need to own another firm.

Control premium: Should we control the firm, the value will climb from 2 to 3. No need for owning another firm.

Synergy: Two firms together add up for more: 2+2=5, thus we pay a maximum of 3 for the firm.

The structure of the total value



What is synergy?

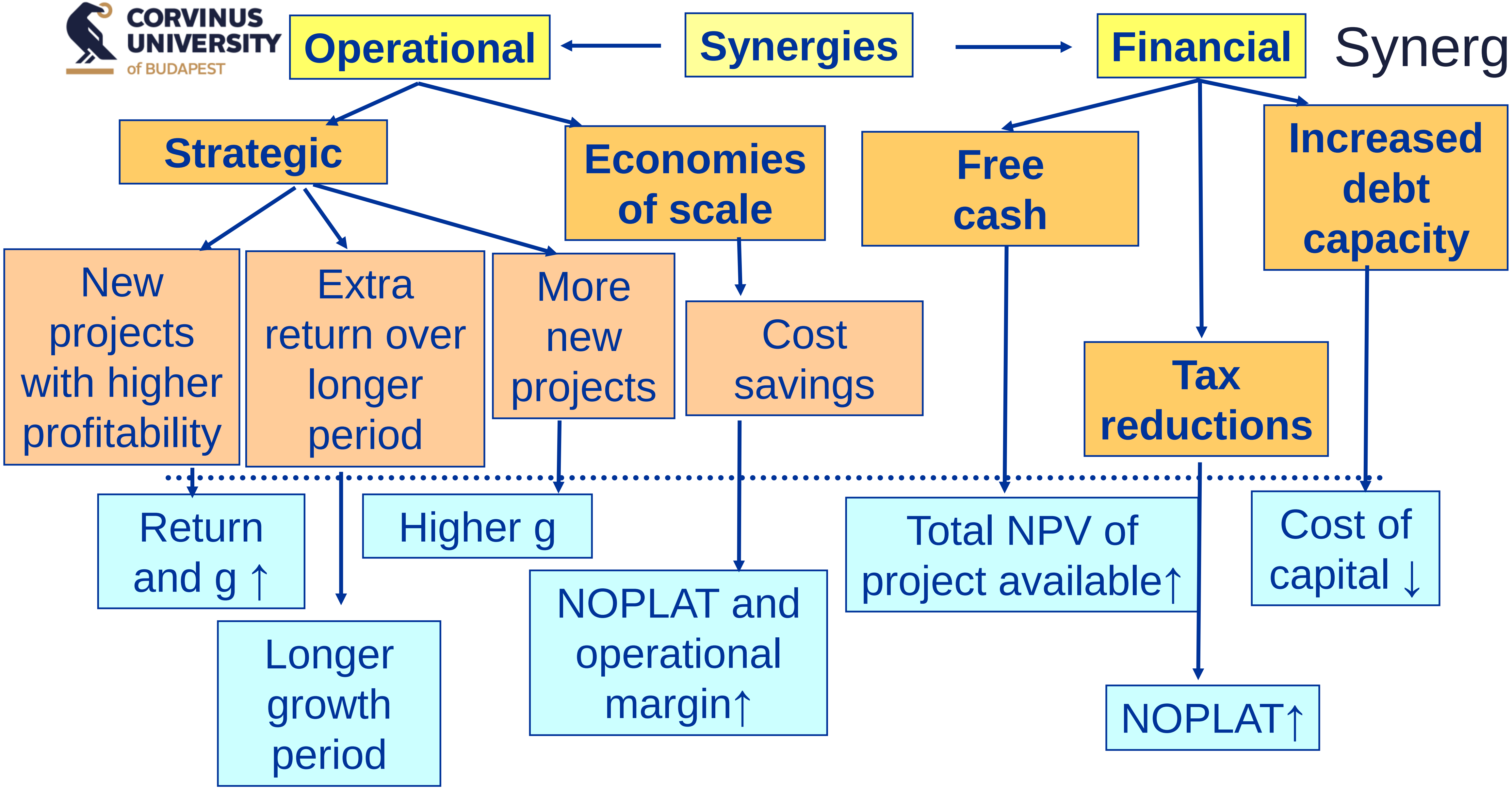
The effect due to which parts together are more valuable than separately.

Car – ignition key

Cell phone – SIM card

Computer – software

Synergies



Source: Damodaran online

Assessment of synergies

What form do those show?
How do those affect value drivers?
When do those start having an impact?

Modelling operational synergies (higher FCFF):

Cost efficiency – naturally limited
Sales growth synergies – only limited by common sense (Country and market growth? Maintainable?)

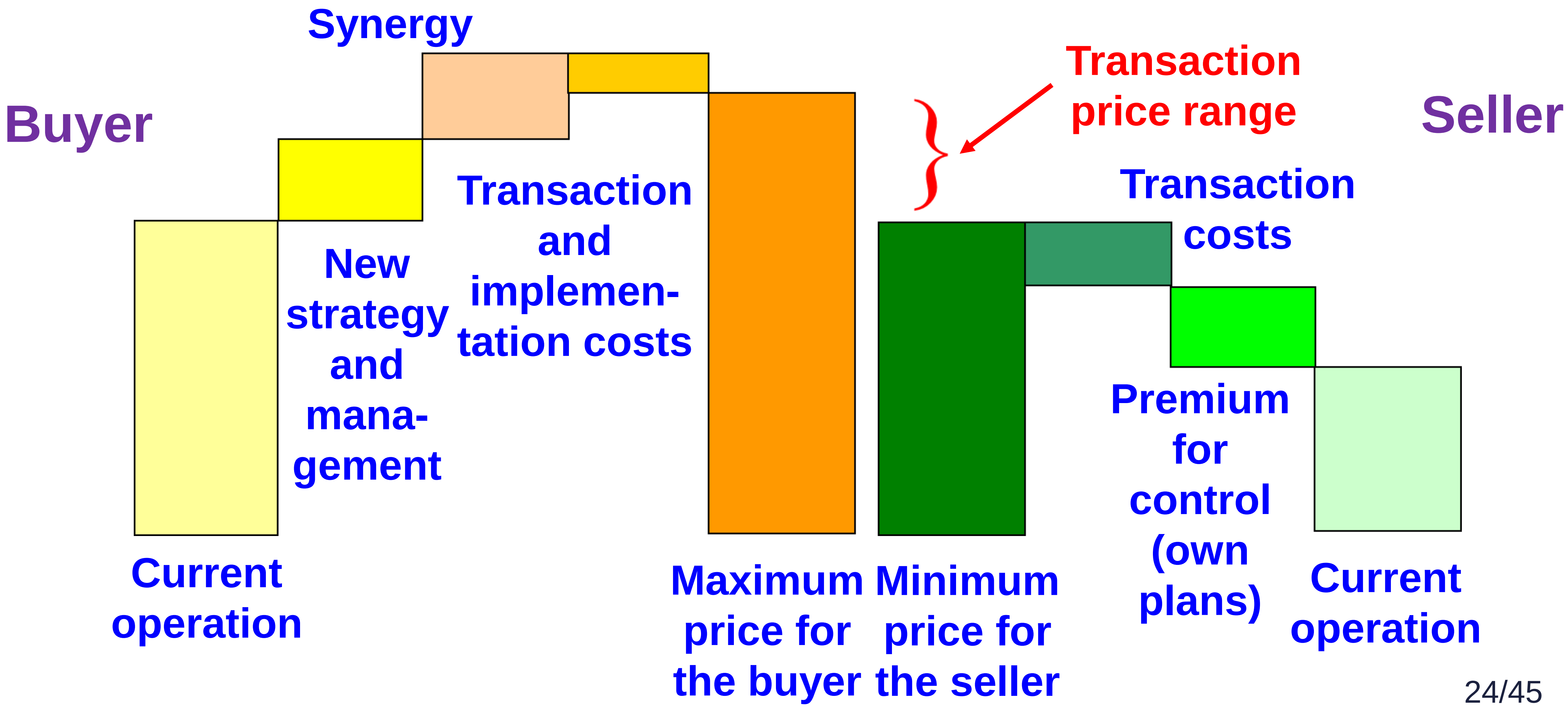
Doubtful synergies

EPS growth – if a firm with a P/E = 30 buy another with P/E = 20, EPS would grow (And what then? – this is not a value focused approach)

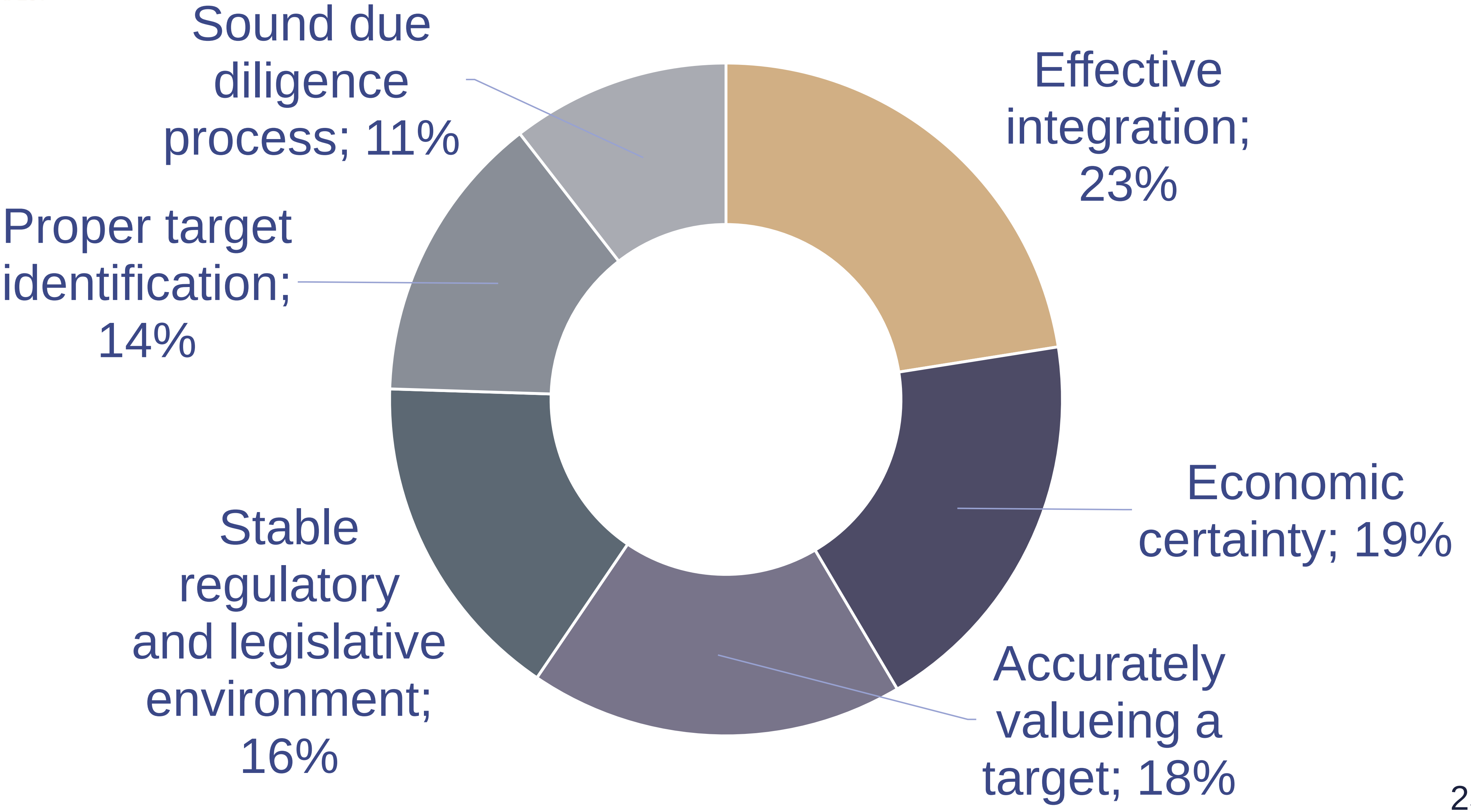
Faster growth – it is of no value alone. We need to review:

- WACC <> ROIC, RONIC?
- Premium <> Synergy?

Setting the price



Success factors of M&As



Source: Deloitte, M&A trends 2019, 2018

Why would mergers fail?

1. Overpayment (extreme optimism)

Overoptimism on market opportunities

Overestimating synergies

Incomplete due diligence, hidden or unhandled issues

Overbidding other offers, management ego („the winners' curse")

2. Poor integration management

Lack of setting a new business model

Uncertainties and conflicts remain unsolved

Late reactions to market pressures

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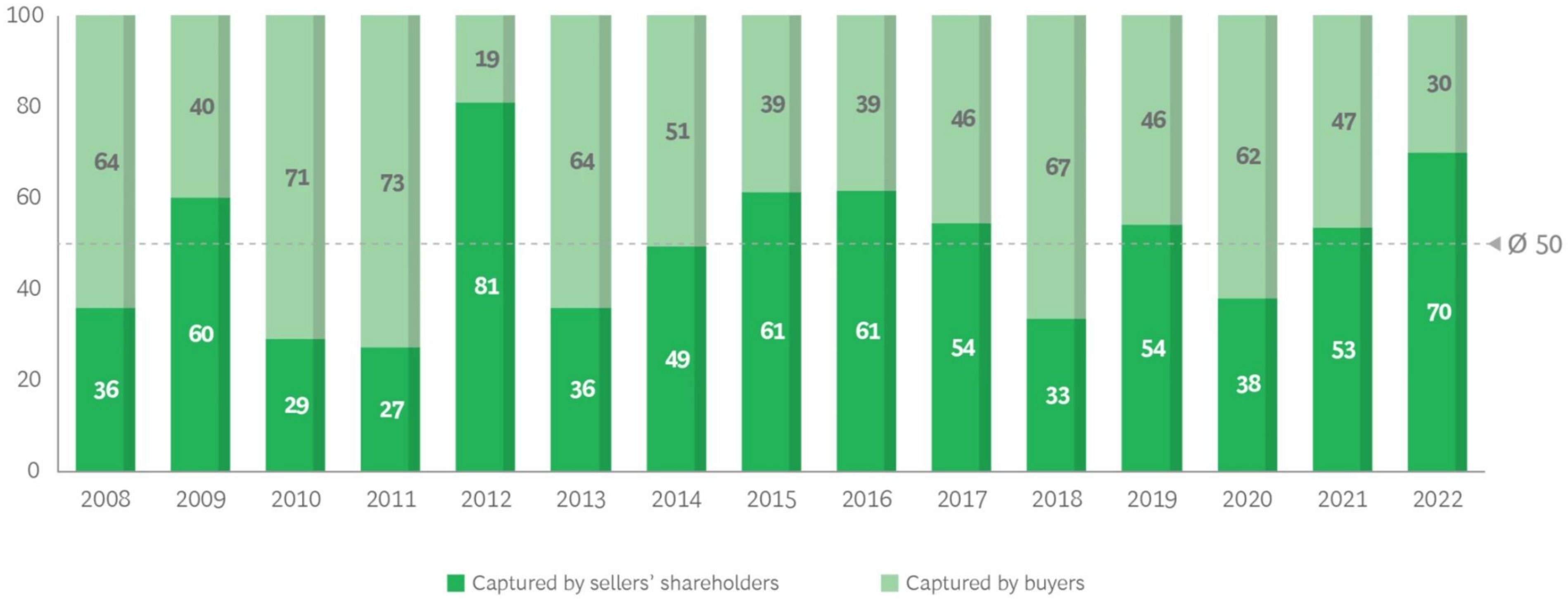
Premium vs Synergy

Median value of synergies captured by sellers' shareholders and buyers (%)[1]



Sources: Refinitiv; company press releases; BCG analysis.

Note: Analysis based on 1,385 public-to-public M&A transactions from 2008 through 2022 with a majority stake acquired by nonfinancial buyers.

[1]Value captured by sellers' shareholders is based on cumulative abnormal returns during the period from three days before to three days after announcement of the deal.

Source: BCG, 2023 Mergers & Acquisitions (M&A) Report


MY STRATEGY IS TO WORK LIKE A PARA-NOID BEAVER DURING THE MERGER.
SURELY MY PRODUC-TIVITY WILL BE NOTICED AND REWARD-ED WHEN THE DOWN-SIZING BEGINS.
AND WHO IS ALICE?
I'M PRETTY SURE THAT'S THE BALD GUY WITH GLASSES.
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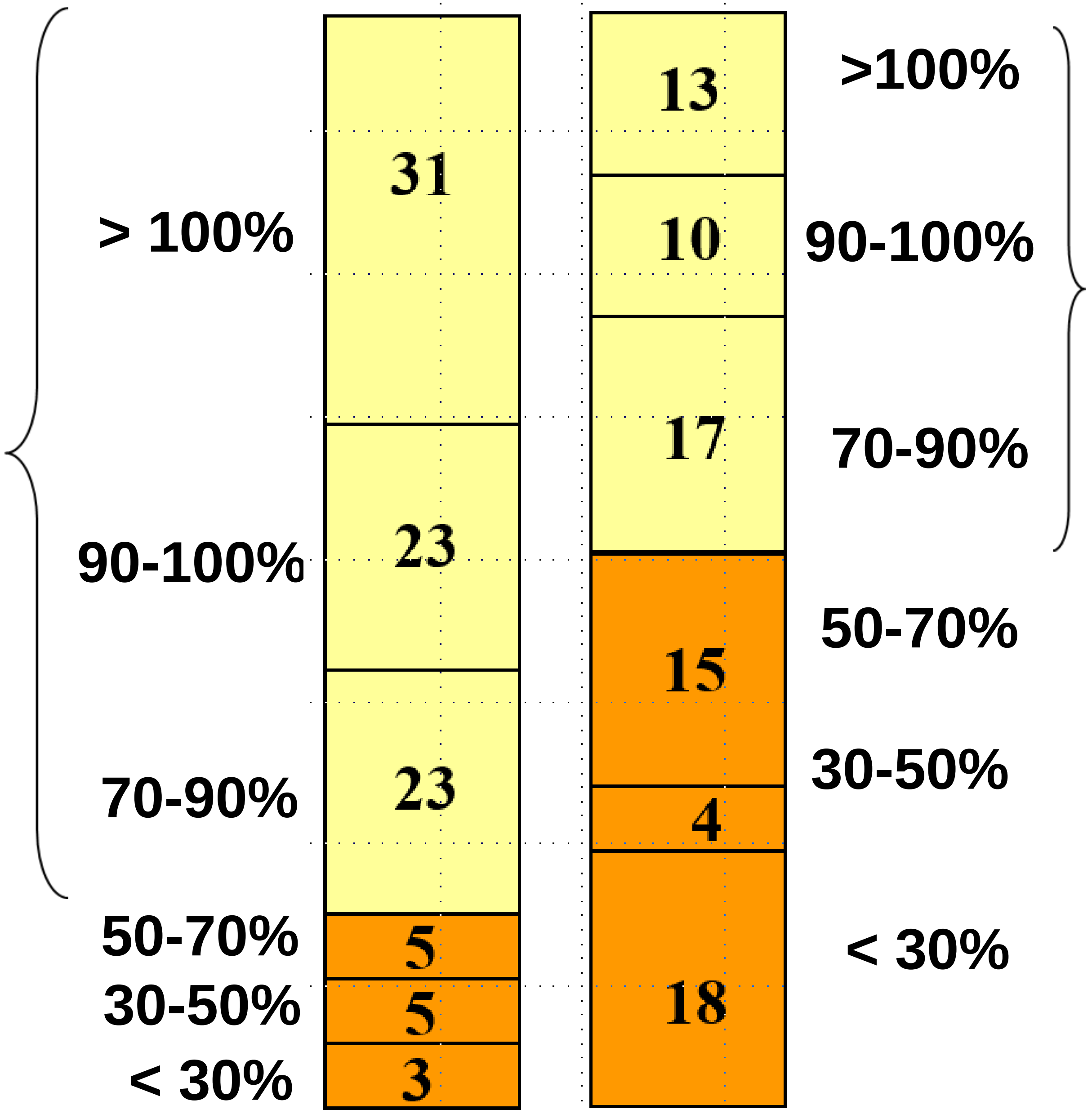
Plans vs Reality

In 85 % of the transactions, at least 70% of cost synergies were achieved.

N=90

Cost synergy

Source: McKinsey

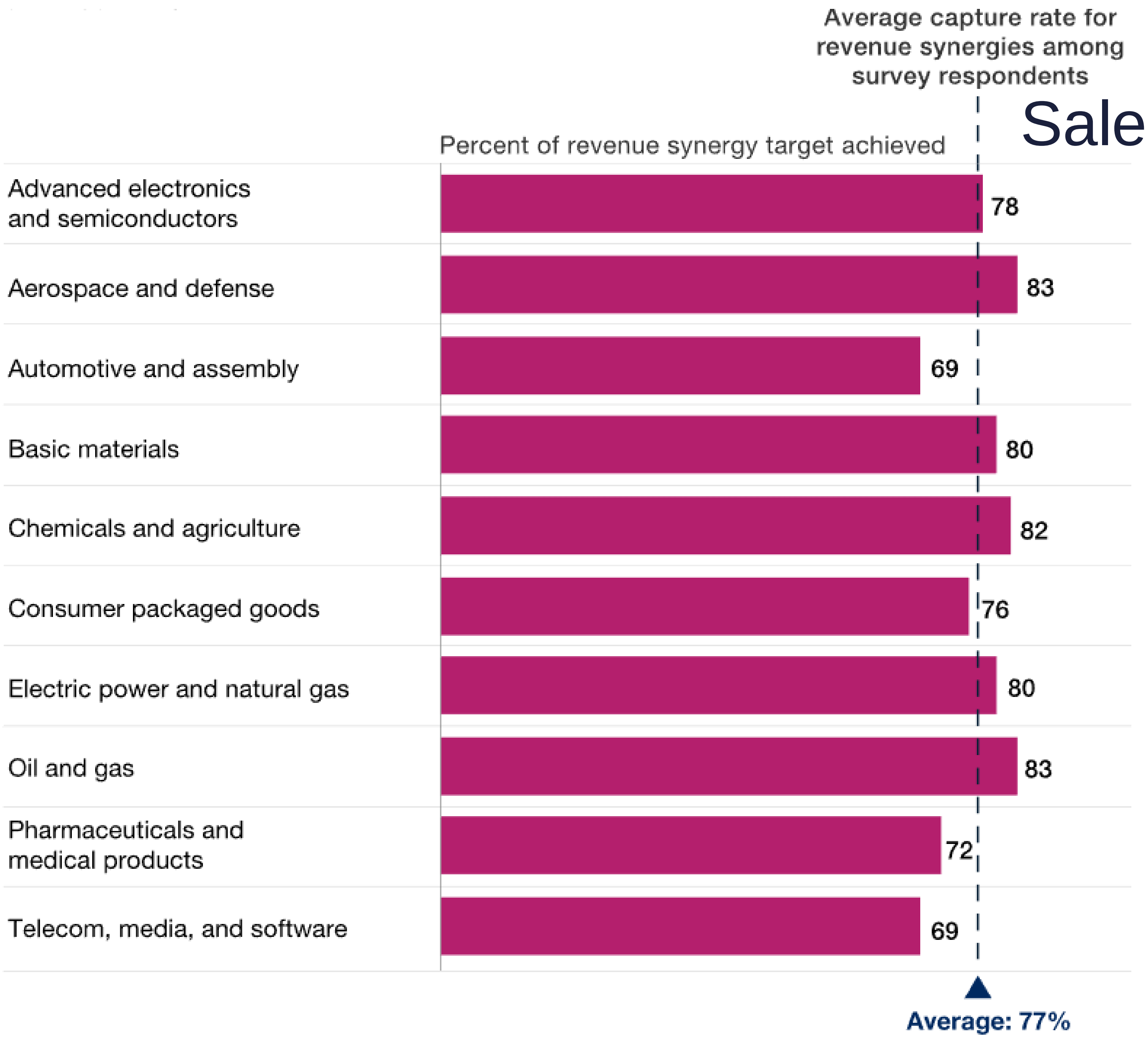


In 52% of the transactions at least 70% of the sales synergies were realised.

N=77

Sales synergy

Sales synergies realised



Source: McKinsey, 2018

The risk of synergies 1

The likelihood of realising the different types of synergies is not the same.

The joint sales will not start growing immediately as

1) the transaction process jeopardises the customer connections.

2) competitors aim immediately at our best staff,

3) customers buying from both firms hit take some of their purchase to a competitor,

4) the remaining customers ask for a reduction as thanks to their loyalty

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The risk of synergies 2

Costs of realisation

lay-off expenses, restructuring, repositioning, change of names, IT integration

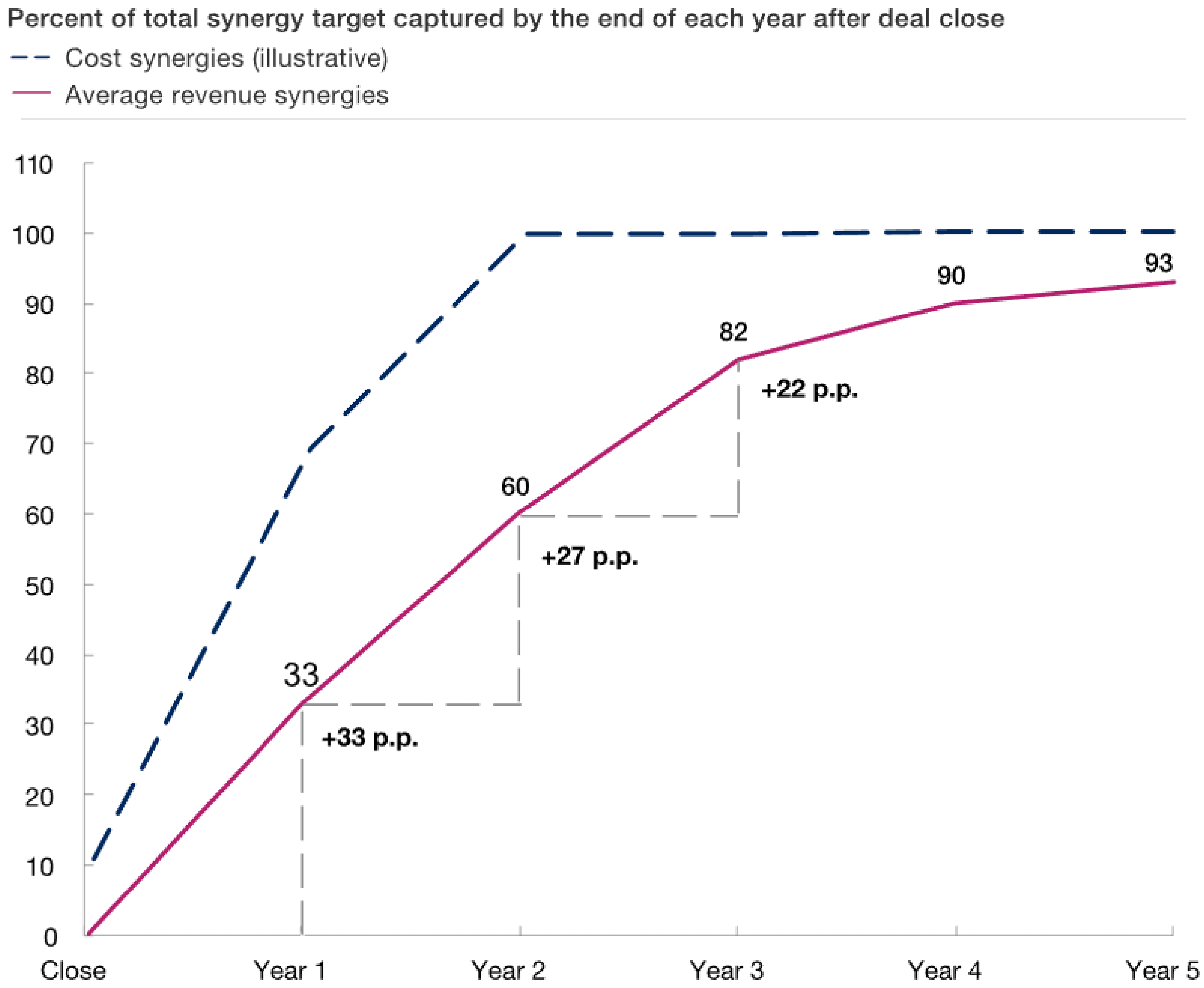
These can add-up to more than one year of synergy

Time need of realisation

Different customer management systems, trainings, IT integration

Synergies that could not be realised during the first complete business year after the transaction are usually completely lost.

The time need of realising the synergy



How to pay for a firm?

Cash

- Liquidity issues
- All risk remains with the buyer
- All profit stays with the seller

Shares

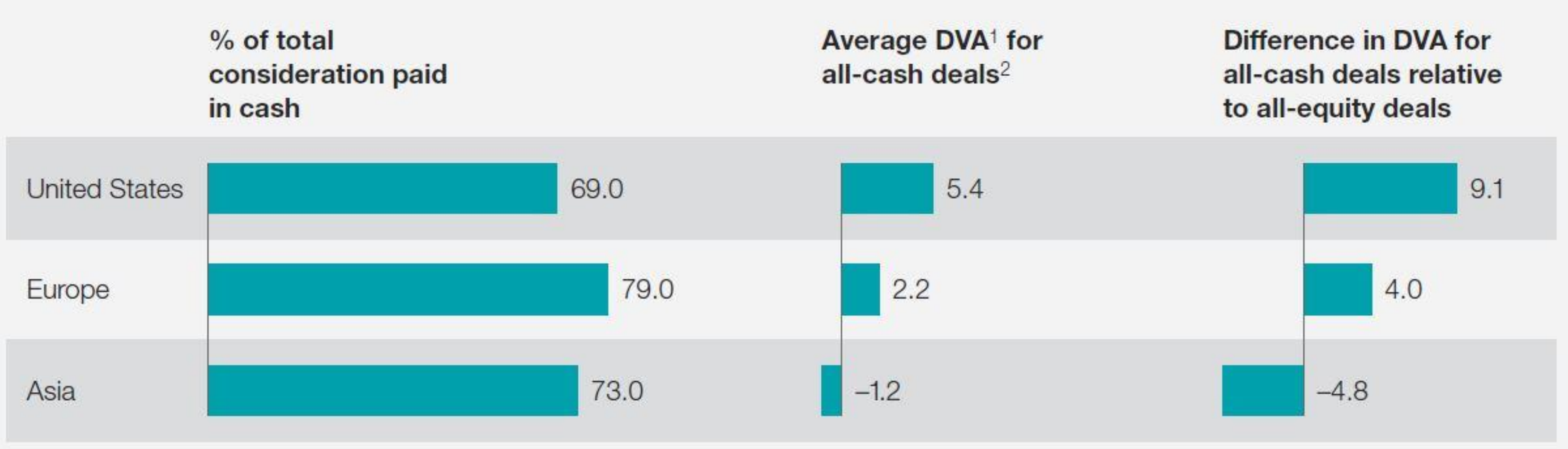
- The seller can not exit
- Shared risks
- No liquidity shock

Payment methods worldwide

Cash
Shares
Mixed

Source: McKinsey, 2017

Market view of payment methods



[1] Deal value added.
[2] For M&A involving publicly traded companies; defined as combined (acquirer and target) change in market capitalization, adjusted for market movements, from 2 days prior to 2 days after announcement, as % of transaction value.

Source: Datastream; Dealogic; McKinsey analysis

Market view of shares-only payment

[1] Deal value added.
[2] For M&A involving publicly traded companies; defined as combined (acquirer and target) change in market capitalization, adjusted for market movements, from 2 days prior to 2 days after announcement, as % of transaction value.

Source: Datastream; Dealogic; McKinsey analysis

Lessons from the history 1

1. The fusion of **similar-sized firms** is less likely to be successful.

2. Synergies from **immediate cost reductions** (e.g. downsizing) are easier to capture than those linked to future growth, new products, or joint R&D.

3. **Hostile takeovers** promise better management and results than friendly transactions.

Lessons from the history 2

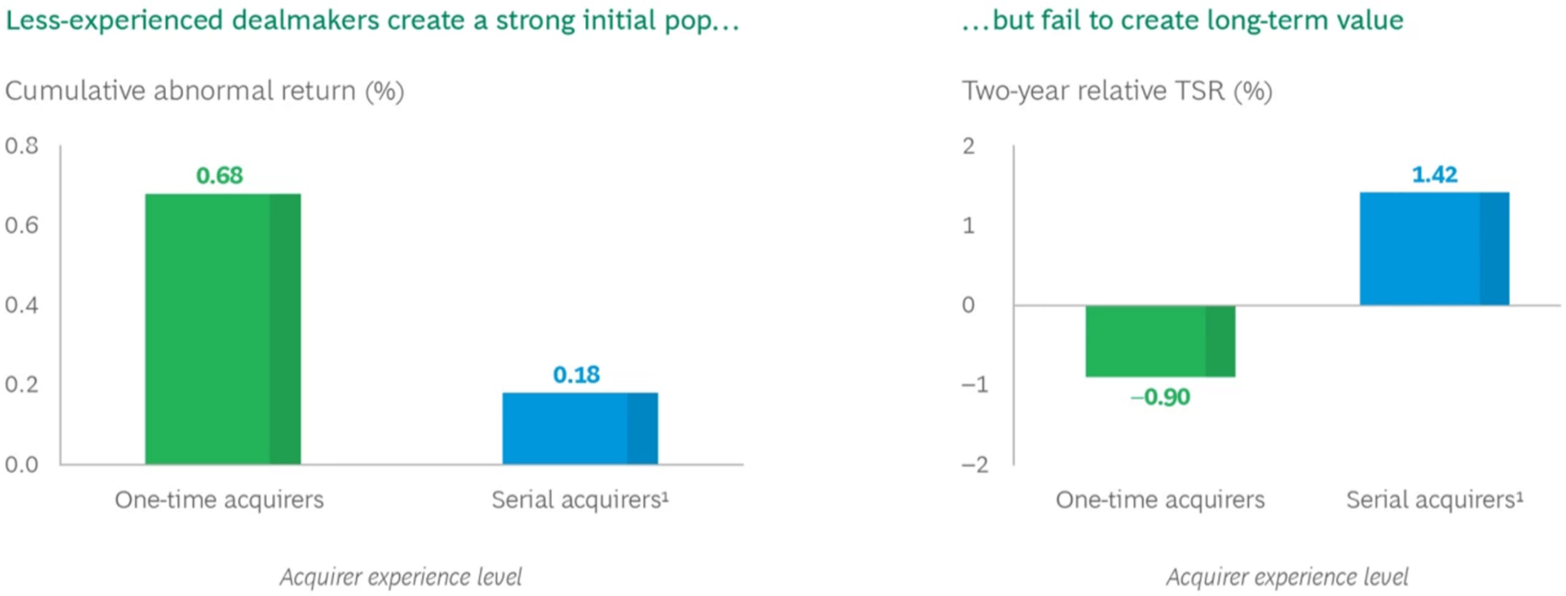
3. Acquisitions focused on **smaller private firms** are more likely to be successful. The fiercer the competition is, the more likely the loss in value.

4. **Firms carefully considering** synergies and M&As are more likely to be successful.

Lessons from the history 3

5. **Companies with outstanding efficiency** are more likely to create value by acquiring firms.

6. **Firms that gained experience in M&A** are more likely to be successful in the long run.



Source: BCG, 2023 Mergers & Acquisitions (M&A) Report

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Thank you for your attention. Any questions?

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Example

ABC Co. purchases BCD Co. They pass on 100 unit of synergy, one third of the price is paid cash.

How will the price of ABC shares change due to the transaction, if there are 2000 pieces issued?

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Data

ABC current value: V=1000 E=800 D=200

BCD current value: V=300 E=200 D=100

Synergy=300

Joint value (before payment): V=1600 E=1300 D=300

BCD shares purchase price: 200+100=300

Cash: 300*1/3=100

Shares: 300*2/3=200

Together (after the payment): V=1500 E=1200 D=300

Results

ABC current quote: 800/2000=0.4

Synergy to current owners: 300-100=200

Required values of ABC shares after the transaction:

800+200=1000

Share price: 1000/2000=0.5

To be paid for BCD: 200

Number of shares to issue: 200/0.5=400

Summary

Number of shares after the transaction: 2000+400=2400

Price quote: 1200/2400=0.5

Attention! If during the transaction the amount of debt changes of extraordinary dividend is paid, you also need to consider those effects before calculating the share prices and number of shares to issue!